

Business Law

Lecture 10

Transfer of property

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Transfer of property

AGENDA

OWNERSHIP AND POSSESSION

PRINCIPLE OF SEPARATION &
ABSTRACTION

TRANSFER OF MOVABLES

TRANSFER OF IMMOVABLES

TRANSFER OF CLAIMS

Transfer of Property – Ownership and Possession

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Ownership = Possession?

Transfer of Property – Ownership and Possession

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- Ownership $\neq$ Possession
 - A thief is the possessor but not the owner of the thing
 - E.g. § 985 BGB
- Ownership, §§ 903 et seq. BGB
 - Not defined by the law
 - Protected by Art. 14 German Basic Law
 - Most powerful right regarding a thing (absolute right vs. relative right)
 - Right to every possible legal and actual influence on the thing
 - ▶ Utilization function; limited by law and rights of third parties
 - Right to exclude others from any influence
 - ▶ Exclusion function
- Attained by transfer of ownership or statutory acquisition

§ 903 1 BGB

Transfer of Property – Ownership and Possession

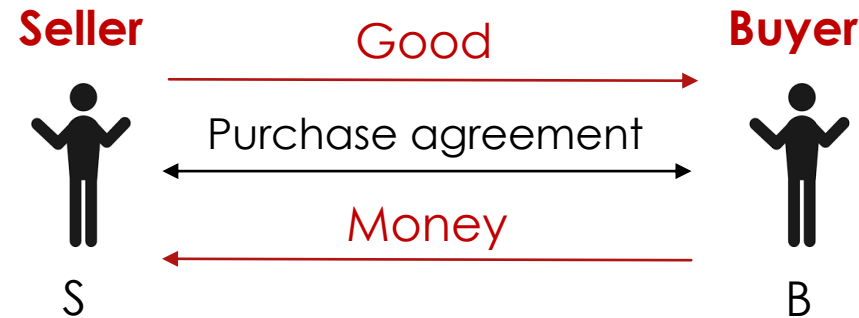
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- Possession, §§ 854 et seq. BGB
 - Actual power of disposition
 - Actual power to rule over a thing
 - Supported by the will to rule over the thing (no legal capacity required)
 - Legal right to possession is irrelevant for possession itself
 - Can be attained by simple act of acquisition of actual power, § 854 BGB
 - Different types of possession and possessors
 - Direct and indirect possession (§ 868 BGB), fictive possession (of the heir, § 857 BGB)
 - Main functions of possession:
 - Starting point for transfer
 - Presumption of rights, i.e. § 1006 I BGB – presumption of ownership
 - Possession is also protected by law

Transfer of Property – Principle of Separation

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- **Execution of purchase agreement:**
≥ three separate legal transactions



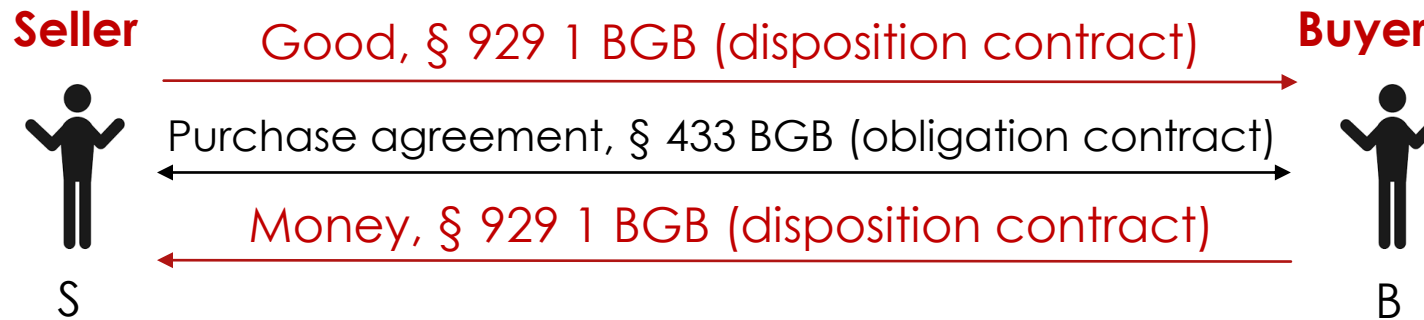
1. Conclusion of the purchase agreement (obligation contract)
 2. Transfer of property of the good (1. disposition contract)
 3. Transfer of property of the money (e.g. 100€ bill) (2. disposition contract)
- General rules of Dol apply to both types of contract

Transfer of Property – Principle of Separation

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Principle of separation

= strict differentiation between obligation contract and disposition contract

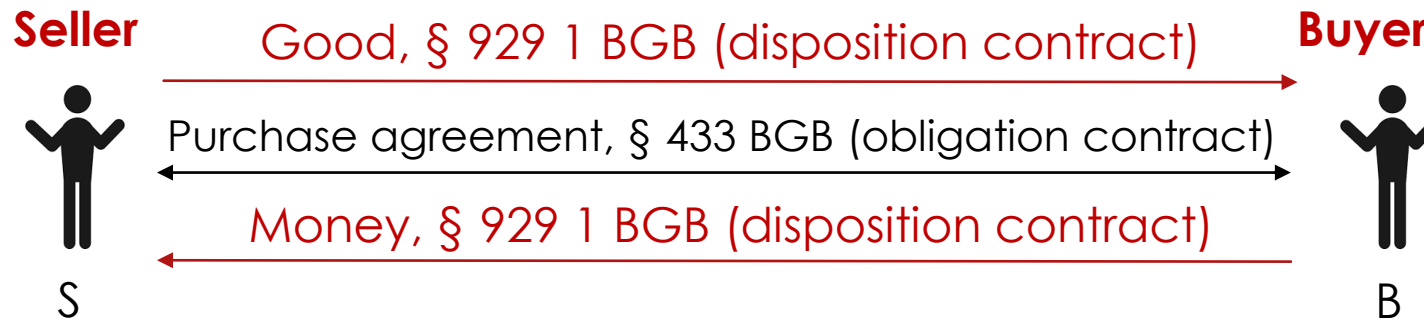


- Naturally perceived unitary process (e.g. bakery)
- Legally divided: “I hereby sell you this bread and transfer ownership of it to you. Do you accept these transactions?”
- Purchase agreement does not lead to transfer of ownership (!)
- Only disposition contract transfers ownership
- Possible: Contract conclusion today and transfer of ownership in six months

Transfer of Property – Principle of Abstraction

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- Principle of abstraction is based on principle of separation



- Obligation contract and disposition contracts are abstract
- Abstract in validity
 - Flaw in obligation contract doesn't challenge validity of disposition contract
 - Flaw in disposition contract doesn't challenge validity of obligation contract

Transfer of Property – Principle of Abstraction

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- Abstraction in case of a flaw of the obligation contract means for the disposition contract:
 - No automatic reversal of the legal transaction, no invalidity
 - Restitution by §§ 985, 812 I 1 1. Alt. BGB is possible
 - Obligation contract is legal reason for keeping the transferred good
 - Not the reason for validity

Transfer of Property – Principle of Abstraction

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Principle of abstraction

= Validity of obligation contract and disposition contract are independent of each other

- Exception: Identity of the flaw
 - Mentally ill B concludes a sales contract with the store owner S who transfers ownership of the sold newspaper to him.
 - §§ 104 Nr. 2, 105 I BGB: Both of B's Dol are invalid
 - Rescission due to deceit or duress, § 123 I BGB
 - Rescission from obligation contract and disposition contract is possible
- ➔ Both obligation contract and disposition contract are invalid
 - Not, e.g. § 119 I BGB: rescission due to misspelling in price
 - Disposition contract isn't concerned with price and remains valid after rescission

§ 90 BGB

Concept of the thing

Only corporeal objects are things as defined by law.

- Objects:
 - Not humans
 - But dead bodies can be (debatable; post-mortem effects of general rights of privacy, dignity)
 - Not animals
 - But governed by the same rules as things, § 90a BGB
- Corporeal:
 - Not immaterial rights (“IP”), protected by special statutes
 - Not claims
 - Not software but the data carrier (CD, flash drive)
- Movable things (chattels) ⇔ immovable things

Transfer of Property – Transfer of Movables

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- Overview to modes of transfer of movables

Mode of transfer	Agreement and delivery	Constructive delivery	Assignment of claim for possession
Regular acquisition	§ 929 1 BGB	§ 930 BGB	§ 931 BGB
Acquisition in good faith	§ 932 BGB	§ 933 BGB	§ 934 BGB

§ 929 1 BGB

Agreement and delivery

For the **transfer of the ownership** of a movable thing, it is necessary that the **owner delivers the thing to the acquirer** and **both agree that ownership is to pass**.

Transfer of Property – Transfer of Movables

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1. Agreement



2. Delivery (Handover)



3. Agreement at handing over



4. Authorization



Transfer of property acc. to § 929 1 BGB

1. Agreement

- Normal contract, general rules on Dol and contracts apply
 - Agency, rescission, invalidity etc.
 - Possible conditional conclusion acc. to § 158 I BGB (retention of title, see § 449 BGB)
 - ▶ Future acquirer of ownership acquires an expectant right to the thing (special protection)
- Needs to specify a concrete thing (principle of determination)
 - Objective third party must be able to determine which object is transferred
 - E.g. naming, pointing, “all items manufactured in January 2023”

2. Delivery (Handover)

- Not a contract, but a real act (act of publicity)
- Rules on Dol and contracts do not apply
 - Esp. no agency acc. to §§ 164 BGB et seq.
 - But: Agent in possession acc. to § 855 BGB, e.g. employee concerning firm's goods
- Objective third party must be able to discern transfer
- Acquirer needs to get possession of the thing through the transferor
- Transferor needs to lose any possession of the thing

- Dispensability of delivery
 - If acquirer already possesses thing, § 929 2 BGB
 - In the cases of § 930 BGB and § 931 BGB delivery is replaced
 - By concluding certain legal relationships (constructive delivery), § 930 BGB
 - ▶ § 868 BGB: e.g. rent, lease, borrowing, chattel mortgage (important loan collateral)
 - By the assignment of the claim for possession, § 931 BGB
 - ▶ E.g. claim for possession pursuant to § 433 I 1 BGB

3. Agreement at handing over

- Until the delivery is made the agreement is revocable without any restrictions on the level of the disposition contract
- Penalties on the level of the contract obligation are possible

4. Authorization

- In principle, (only) the owner is able to transfer ownership, § 903 BGB
- Owner may be subject to restrictions due to
 - Insolvency law, § 81 InsO (Insolvency Statute)
 - Family law, §§ 1365 BGB et seq. (protection of the family's economic basis)

- Authorized non-owner may be able to transfer ownership:
 - Consent by the owner via legal transaction acc. to § 185 I BGB
 - Statutory power of disposition, e.g. § 80 I InsO, insolvency admin
- Unauthorized non-owner may also transfer ownership of another person's thing



Acquisition of ownership in good faith,
§§ 929 I, 932 I 1 BGB

§ 932 BGB

Good faith acquisition from a person not entitled

(1) As a result of a disposal carried out under § 929, the acquirer becomes the owner even if the thing does not belong to the alienor, unless the acquirer is not in good faith at the time when under these provisions he would acquire ownership. [...]

(2) The acquirer is not in good faith if he is aware, or as a result of gross negligence he is not aware, that the thing does not belong to the alienor.

- **§ 935 BGB:** No good faith acquisition of lost property, e.g. stolen property
- **§ 1006 BGB:** Presumption of ownership for possessor

Transfer of Property – Transfer of Movables

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1. All conditions of § 929 1 BGB (except authorization)



2. Good faith of the acquirer



3. Legal appearance due to possession, § 1006 BGB



4. Thing is not lost or stolen, § 935 BGB



5. Legal transaction between two distinct parties



Acquisition in good faith acc. to §§ 929 1, 932 I 1 BGB

Transfer of Property – Transfer of Movables

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- 1. All conditions of § 929 1 BGB (except authorization)**
- 2. Good faith of the acquirer**
 - § 932 II BGB defines good faith negatively
- 3. Legal appearance due to possession**
 - § 1006 I 1 BGB presumes that possessor is the owner, this enables good faith acquisition
- 4. Thing not lost or stolen, § 935 I BGB**
 - Owner must not have lost immediate possession involuntarily
 - Balances out owner's interest in his belongings and protection of legal traffic
 - Physical money can always be acquired in good faith
- 5. Legal transaction between two distinct parties**
 - Attempt to prevent misuse by self-contraction, § 181 BGB
 - Not applicable to statutory acquisition of ownership and other special cases

Transfer of Property – Transfer of Movables

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Business man S is in desperate need for money to keep his business operating. His credit score is low, so he doesn't get a loan from any bank. Fortunately, his friend L pities him and agrees to lend him 100.000€. L wants a credit collateral. S wants to keep possession of machine #1 in case he needs to ramp up production. S and L agree to transfer ownership of S's big old production machine #1 as chattel mortgage and conclude a security purpose agreement concerning the machine.

Who owns the machine?

Transfer of Property – Transfer of Movables

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- Initially, S was owner of the machine. He may have lost ownership to L via transfer acc. to. §§ 929 1, 930 BGB
- S and L agreed to transfer ownership of machine #1 as credit collateral
- No delivery/handover: § 929 1 BGB alone isn't sufficient
 - Replaced by constructive delivery in form of chattel mortgage. The entailed security purpose agreement is sufficient for the application of § 930 BGB.
- Agreement persisted and S was authorized as legal owner
- ➔ S lost his ownership of the machine to L via transfer acc. to §§ 929 1, 930 BGB

Transfer of Property – Transfer of Movables

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Business man S lost the 100.000€ lent from his friend. He needs additional money to save his business. His business acquaintance B was always interested in his machine #1. B is very happy when S offers him to sell it and transfer ownership of the machine. B couldn't possibly know that the machine is owned by L and not S anymore. S gives the machine to B who transports it to his premises.

Who owns the machine?

Transfer of Property – Transfer of Movables

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- Initially, L was owner of the machine. He may have lost ownership to B via his acquisition in good faith, §§ 929 1, 932 BGB
 - S and B agreed to transfer ownership of machine #1
 - Delivery/handover: B transported it to his factory after handover
 - Agreement persisted until handover
 - But S wasn't authorized to transfer ownership:
 - He wasn't the owner. He didn't act with L's consent.
 - Acquisition in good faith acc. to. §§ 929 1, 932 BGB?
 - Good faith of B acc. to § 932 II BGB (+)
 - Legal appearance due to possession, § 1006 I 1 BGB (+)
 - Thing not lost or stolen, § 935 BGB (+)
 - Legal transaction between two distinct parties (+)
- ➡ L lost his ownership of the machine to B via §§ 929 1, 932 BGB.

Transfer of Property – Transfer of Movables

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- Overview to modes of statutory acquisition of movables

Mode of acquisition	§§ BGB
Acquisition by prescription (10 years)	937
Combination of a movable thing with a plot of land	946
Combination of a movable thing with another movable thing	947
Intermixture / mingling with each other	948
Processing of a movable thing to a new thing	950
Acquisition of products and other components of a thing	953 et seq.
Acquisition of ownership of ownerless movables	958

Transfer of Property – Movables / Immovables

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Transfer of movables	Transfer of immovables
§§ 929 et seq. BGB	§§ 873, 925 BGB
1. Agreement	1. Agreement
2. Delivery/Handover	2. Entry in land register
3. Agreement at handing over	3. Agreement at entry
4. Authorization or acquisition in good faith	4. Authorization or acquisition in good faith

- Same basic principles apply
- Stricter mode of transfer, but also greater possibilities of acquisition in good faith

1. Agreement

- = Conveyance, different name due to tradition, § 925 I 1 BGB
- Special form is required, § 925 I 2: authentication by public notary
- Also: obligation contract (real property purchase agreement) must be notarized acc. to § 311b I BGB.

2. Entry in land register

3. Agreement at entry in land register

4. Authorization

- Owner is authorized, but same extensions and restrictions as with chattels apply
- Acquisition in good faith: strong legal appearance through land register, only positive knowledge of incorrectness inhibits acquisition in good faith

Transfer of Claims

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- Assignment of claim, §§ 398 et seq. BGB (disposition)
- Purchase of rights, § 453 BGB (obligation)
 - Factoring as business model
- Important instrument for credit collateral
 - Bank: Salary claim; supplier: (future) purchase price claims
 - Creditor is exchanged; claim stays the same



1. **Disposition contract acc. to § 398 1 BGB**

- No participation or notification of debtor required (although advisable)

2. **Claim must exist**

- No acquisition in good faith possible, generally
- Future claims may be assigned if they are identifiable

3. **Claim must be identifiable**

4. **Claim must be transferable**

- Statutory exclusion of assignment
- Contractual exclusion between creditor and debtor

What is the difference between possession and ownership?

Please explain the principles of separation and abstraction.

How can chattels be transferred? What are the requirements of the provision?